

WEBFLIX, INC. | SWOT ANALYSIS

The following summarizes the key strengths, weaknesses, opportunities and threats to consider when evaluating strategic M&A fit

Strengths

- The company enjoys superior brand name recognition and consistently places at or near the top annually as the platform with the most wins and nominations for its original content at each major award ceremony in the film and television industry
- With a customer base of over 220 million paid subscribers in over 190 countries worldwide, this allows Netflix strong influence in being able to bargain with studios and content creators in order to exclusively secure the rights to new content

Weaknesses

- As technology continues to drive innovation (i.e. both streaming technology such as A.I. and distribution technology like 5G), there also exists the risk of a new entrant, or the eventual obsolescence of the status quo
- Millennials are currently the largest segment of consumers in the U.S. and have shown a high propensity of interest for these types of platforms, however, as this generation continues to age and gives rise to Generation Z, those consumers may have their own unique set of tastes and seek new forms of entertainment

Opportunities

- The continued growth and high end-user demand in the over-the-top (OTT) space has enabled players such as Apple, Amazon and Hulu to dramatically reshape the film and television landscape
- The global video streaming market is projected to grow to over \$220 billion by 2028, which represents a CAGR of 21.0% from 2021 to 2028 and opportunities for expansion into new geographic markets and/or business diversification through tangential product/service offerings

Threats

- [X]
- [X]